

SUPREME COURT OF VICTORIA

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R. v. BELJAJEV

FULL COURT
STARKE, MURPHY and HAMPEL JJ.

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14 May 1984

Criminal law — Handling stolen goods — Doctrine of recent possession — Right to silence — Whether failure to give innocent explanations to police after caution relevant to consideration of explanation given at the trial.

15 B. left a quantity of jewellery with H. for sale on consignment. Included among this jewellery were a ring and a pair of earrings stolen three months earlier. He was interviewed by the police and cautioned at the commencement of the interview. He did not at that stage give any explanation for having been in possession of the jewellery. An innocent explanation was given for the first time in an unsworn statement from the dock. The Crown case depended entirely upon the doctrine of recent possession. The trial Judge directed the jury that B.'s failure to explain his possession after being cautioned could be regarded as bearing upon whether his explanation from the dock was to be accepted.

20 *Held:* that the accused's failure to give an innocent explanation after being cautioned could not be used to impugn his credit. The jury ought to have been so directed.

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R. v. Biason (unreported, Full Court, 22 June 1983), explained and followed.

Application for leave to appeal against conviction

30 This was an application for leave to appeal against conviction. The facts are stated in the judgment of Starke J.

M. S. Weinberg, for the applicant.

35 *I. Heath*, for the Crown.

Starke J: This is an application for leave to appeal against conviction. There was an application before us for leave to appeal against sentence but during argument Mr. Weinberg, who appeared for the applicant, abandoned that application.

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The applicant, who is aged 33 years, was presented in the County Court on 14 February 1984, charged with three counts of handling. These were counts 3, 4 and 5 on the presentment. To each count he pleaded not guilty. The trial lasted nine days and on 24 February he was acquitted on counts 3 and 4 and convicted on count 5. He admitted 51 prior convictions arising from six Court appearances between February 1972 and April 1976. Forty-eight of these prior convictions were for offences of dishonesty. On 27 February the learned Judge sentenced him to 12 months' imprisonment with a minimum of six months.

50 The applicant gave notice of application for leave to appeal against conviction on 28 February 1984. There were three grounds in the original notice:—

"1. The verdict of the jury was contrary to the evidence.

"2. That the learned trial Judge misdirected the jury by stating that a failure to explain possession to the police after due caution had been given had a significance because of a doctrine of recent possession which it may not have when the doctrine of recent possession was not applicable.

"3. The learned trial Judge failed to direct the jury that the failure to give an explanation to the police was consistent with several factors other than guilt on the facts and circumstances of this case."

The facts may be stated as follows. On 15 April 1980, Mr Turnbull returned to his home and found that he had been burgled. There were apparently about 60 items of jewellery stolen and these included a diamond and ruby ring and a pair of sapphire earrings worth about \$600 belonging to his wife. On 3 July the applicant attended the shop of a Mr. Hannaford in Adelaide and left a quantity of jewellery with him for sale on consignment. Mr. Hannaford said he was not aware of where the jewellery had come from. The ring and earrings belonging to Mrs. Turnbull were subsequently found to be part of this consignment. The applicant wrote out and signed an invoice for this jewellery, which was eventually seized by the police and produced in evidence. The applicant had dealt with Hannaford over the years, and the method by which they conducted their business transactions was this: the applicant used to leave items of jewellery with Mr. Hannaford and write out an invoice for them. After they had been sold on consignment, he was paid by cheque and destroyed the invoice.

The applicant was interviewed by the police subsequently. The interview was in the nature of a record of interview and was typed out. However, the applicant did not sign the record of interview, and as I understand it it was not tendered in evidence. However, the content of it was given in evidence by the police officer who took it. It is perhaps desirable to read the relevant parts of this interview. He was asked his name and address. He said, "Boris Beljajev of flat 8, 56 Kooyong Road in Caulfield." The officer said: "We wish to ask you certain questions about property consigned by you to Adelaide to a Mr. Hannaford. You are not obliged to say anything further unless you wish. Whatever you do or say may be given in evidence." It is critical to this application to note that the caution was given right at the commencement of the interview. He said: "I've been told that."

Q.— "Would you inspect these invoices in the name of your company, Antique Jewellery and Gem Traders of Melbourne Pty. Ltd. [He was referred to the numbers.] Who runs that company?"

A.— "I'm the company director. I am a one man show."

Q.— "Are these invoices belonging to your company?" A.— "Yes."

Q.— "Are they made out in your handwriting?" A.— "Yes."

Q.— "What do these invoices relate to?" A.— "Items I took to Adelaide for Mr. Hannaford."

If I may interpose at this point, a matter subsequently was disclosed in evidence, and it was this: his explanation was that he had bought the items the handling of which he was charged with in Adelaide from a Mr. Szabo on 10 May 1980. However, it appeared that subsequent to that he was in Melbourne during June, and presumably he would have, after the purchase of the articles — if indeed he did purchase them — taken them back to Melbourne with him, and presumably it was not inconsistent with the fact that he said that he had purchased the items in Adelaide and that he took

those items to Adelaide for Mr. Hannaford. Continuing with the interview:—

- Q.— “Where did you get these items that appear on these invoices?”
 A.— “No comment.”
- 5 Q.— “Would you look at invoice number 1010. I want to draw your attention to the pair of earrings and ruby ring that appear on the bottom of the invoice.” A.— “Yes.”
- Q.— “Are those items the ones that appear in the photo here?” A.— “Yes, they appear to be.”
- 10 Q.— “Are they numbered items 4 and 5?” A.— “Yes.”
- Q.— “Where is the jewellery now?” A.— “I know you have it.”
- Q.— “What did you pay for those items?” A.— “No comment.”
- Q.— “I put it to you that you took these items to Hannaford in Adelaide and arranged the price plus 15 per cent for Hannaford if he sold them.” A.— “That is normal procedure.”
- 15 Q.— “In relation to each of these invoices, can you tell me where the property on each invoice was obtained from?” A.— “No.”
- Q.— “I put it to you items number 4 and 8 have been identified from a burglary on Mr. Turnbull earlier this year to the value of \$40,000.”
- 20 A.— “No comment.”
- Q.— “Where did you get items 4 and 8?” A.— “No comment. I might tell you later, at this stage, no.”
- Q.— “I put it to you that items 4 and 8 were taken by you personally to Hannaford in Adelaide on the 3rd of the 7th, 1980, is that so?”
- 25 A.— “Yes.”
- Q.— “I put it to you the burglary was committed on the 5th of the 4th, 1980.” A.— “So, I didn’t do it.”
- Q.— “When did you take possession of the property?” A.— “No comment.”
- 30 Q.— “How long have you been trading with Hannaford.” A.— “12 months or more.”
- Q.— “Hannaford states you would always destroy original receipts in his possession after finalizing payment with you.” A.— “That is my business.”
- 35 Q.— “Are you a licensed second-hand dealer?” A.— “No.”
- Q.— “Do you keep a written record of all property coming into your possession?” A.— “No comment.”
- ...
 Q.— “If so, where is it?” A.— “No comment.”
- 40 Q.— “Are you a hawker and peddler?” A.— “Yes.”
- Q.— “As a hawker and peddler, can you sell second-hand goods?” A.— “I don’t know.”
- ...
 Q.— “As a dealer, where did you get any resetting done?” A.— “That is my business.”
- 45 Q.— “Are you a jeweller?” A.— “No, I’m a gemmologist.”
- Q.— “Is there any other person that can explain your possession of the jewellery?” A.— “No.”
- Q.— “How do you explain having stolen property in your possession?” A.— “No comment.”
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The officer said, “He was then cautioned. I told him he would be charged with handling.” The applicant replied, “No comment.” The officer said,

"Read this through aloud and if you agree it is true and correct sign it as such." The applicant replied, "I will read but won't sign it."

I should say that the Crown case depended entirely on the doctrine of recent possession. It was said that the evidence showed that on 3 July 1980, he was in possession of jewellery which had been stolen from Mr. Turnbull's house on 15 April 1980.

His innocent explanation was contained in the unsworn statement he made from the dock at the trial. In effect he said that he had purchased the items from a jeweller in Adelaide named Szabo, who had since died, and he had subsequently sold those items to Mr. Hannaford. He was supported in his explanation by the widow of Mr. Szabo, and she produced documents which indicated that he had indeed bought these items or similar items of jewellery from her deceased husband on 15 May 1980.

The learned Judge directed the jury in regard to the doctrine, the so-called doctrine of recent possession. He said: "Apart from identification, the crucial issue is whether the accused man knew or believed that those items were stolen. Now, the Crown relies on that principle — that inference — that it says can be drawn from the fact that someone is in possession of goods recently stolen. Now, at the risk of annoying you, I am going to repeat in simple terms the basic proposition, and that is that if a person is found in possession of property which has been recently stolen and he either gives no explanation for how he got the property or he gives a lying explanation, a jury is entitled to draw the inference that he either stole the goods or that he received them knowing they were stolen, and that inference or conclusion that a jury may draw arises from the failure to explain possession in circumstances which call for an explanation, or to give an explanation which the jury rejects. Now, the Crown relies on that matter.

"Now, this is a case, members of the jury, where the second branch of that doctrine — if I can call it that — applies. This is not a case where, before you, there is no explanation given. It is a case where the accused has made an explanation to you in his statement, and I will remind you of that statement shortly. The question is whether that explanation raises a reasonable doubt in your minds. Now, he gave no explanation when he was interviewed. That failure — if you accept that it was a failure — can be used by you as a matter of law when you are considering the credibility of the accused in respect of his statement to you from the dock, and that becomes more apparent when I put to you the way in which the matter has been argued by both counsel. Mr. Lazarus said you look at his failure to give any explanation to the police when he was interviewed in the light of the fact that he was given a caution. He was given a caution that he was not obliged to answer any questions and, therefore, I repeat, he submits that you should look at his failure to give any explanation, or answer those questions about how he got the jewellery in that light, and that the purpose of the caution is to warn someone that they are not obliged to answer any questions. And in normal circumstances that would be an end of the matter, only for this question of the special case where you have got this question of being in possession of goods. In the normal course of events, if someone is charged with assaulting someone and they are warned they do not have to answer any questions, and they are asked questions and the person says, 'Well, I am not answering them; you have told me I don't have to', no inference can be drawn adversely against an accused for exercising

his right. Now, unfortunately, it is not as simple as that in this case, for obvious reasons. Mr. Ray put to you a different argument to the one advanced by Mr. Lazarus, and that is this, 'Well, look, the accused was given a caution but he did elect to answer a number of questions', and that is why I thought it important to remind you of the number of questions and answers, and that he did elect to answer questions, especially those in relation to selling the goods to Hannaford, and it is put on behalf of the Crown that he was, in effect, selective, I suppose, is a word you could use, in his answers; that is, that he only declined to answer questions regarding his acquisition of the jewellery and regarding certain business records relating to that. Now, the accused man, according to my note — or the note that has been given to me — did not refer to that matter in his statement to you, and he did not refer to the interview with the police other than to say it took place, and he did not indicate — he certainly did not challenge these questions and answers, nor did he indicate why he answered certain questions and why he did not answer other questions, and he did not in fact say, 'Well, I was given the caution and that's why I didn't answer some of these questions.' Now, I cannot do any more than to point out these matters to you. I have, I believe, correctly stated this principle, this doctrine, of the inference that can flow from being in possession of goods recently stolen, if you find that he was in possession of goods recently stolen. And I have put to you that Mr. Ray, for the Crown, says that his failure to give an explanation at the time can be used as to his credibility when he now gives an explanation to you — an explanation that was not given at the time. Mr. Lazarus would not, I think, challenge that in the normal case, but he says that you should look at his failure to give any explanation in the light of the fact that a caution was given and he was told that he was not obliged to answer any questions, and it seems to me I can do no more than leave it to you, along those lines. I believe that is the legal position."

If I might say in parenthesis, it does not seem to me to be to the point that he has failed to give an explanation as to why he did not answer to the police. He is either bound as a matter of law to answer, or not. If he is not bound so to answer, then there is no burden on him to give any explanation as to why he did not answer.

Now the law in this matter has, I think, to some extent been clarified by the decision of this Court in *R. v. Biason* (unreported, 22 June 1983). There the Court said: "This is not a case where no explanation was given. It is a case where an explanation was given in the applicant's unsworn statement from the dock and the issue that should have been left to the jury was whether that explanation raised a reasonable doubt in their minds. Of course the failure of the applicant to give any explanation at the time he was shown the goods could be used by the jury when considering the credit of the applicant in respect of the statement he made from the dock, and Mr. Weinberg conceded as much, but the direction given in my opinion left it open to the jury to convict the applicant because he remained silent when first shown the goods without reference at all to the fact that he subsequently gave an explanation in court. In my opinion the learned Judge, instead of directing as he did, should have directed the jury that the silence of the accused in the first instance could only be used in respect of the credit of the applicant in respect of his unsworn statement. The question of the so-called right to silence does not in my opinion properly arise in this case and I express no opinion as to its application in respect of

the doctrine of recent possession. Of course if no explanation is given at any time the question may well arise for decision."

In order to understand that passage it is necessary to refer briefly to the facts in *Biason's Case*. There the applicant was driving a motor car and was pulled up by the police. A conversation took place between the police officers and the applicant and during this conversation the car was searched and articles were found in a bag. These articles it was alleged were stolen. The applicant gave no explanation, innocent or otherwise, as to how the articles came to be in the bag and in the car, but it was not until after that conversation had taken place and the allegedly stolen articles had been produced that he was cautioned. The passage in the judgment I have just read clearly relates to the period prior to the caution being given and not to anything that took place after the caution was given.

The principles which I think apply to the use that can be made of statements before and after a caution being given have been laid down in a series of cases by the High Court, and the propositions I propose to enunciate I believe are in conformity with the decisions of the High Court. I am assisted in coming to the conclusions I have come to by the fact that the prosecutor was unable to advance arguments as to why this Court should not hold that the learned Judge's charge, which I have already read in respect of this matter, was defective. The propositions are these.

(a) Any untrue statement or false denial made before or after a caution is given can be used to show a consciousness of guilt and can be used as to the credit of the applicant if he subsequently gives an innocent explanation at his trial or before trial.

(b) Any failure to give an innocent explanation when the situation reasonably calls for it before the caution can be used as to the credit of any subsequent innocent explanation which he makes at his trial or before trial.

(c) No failure to give an innocent explanation after caution can be used as to the applicant's credit or otherwise, and the jury must be so directed.

(d) In my opinion, the concept of selectivity does nothing more than confuse the issue in this case. I think it is clear — and the case of *Woon v. R.* (1964) 109 C.L.R. 529 is in point — that selective answers made before or after caution can be used to show a consciousness of guilt and can be used no doubt as to the credit of a subsequent innocent explanation if the answers can be clearly and reasonably construed as showing a consciousness of guilt.

Here, whilst it is clear that the applicant did answer some questions and so to this extent was selective it does seem that the questions he answered were questions which either were known to the police or could obviously have been ascertained by them. It is not suggested that any of the answers were untrue, and accordingly, in my opinion, could not have been used by the jury either to show a consciousness of guilt or to undermine the credit of the innocent explanation which he subsequently made in his unsworn statement from the dock.

(e) The failure to give an immediate innocent explanation is not a matter exclusive to cases of recent possession, but subject to the right of silence, applies to all cases where an innocent explanation may be reasonably expected.

In my opinion, the right to silence is a fundamental principle of the criminal law and is not to be overridden by any other so-called doctrine or other principle.

Accordingly, in this case, in my opinion, as the learned Judge, far from so directing the jury, left his failure to explain after the caution was given to the jury for their consideration of whether the explanation he gave from the dock was or was not to be accepted. That, so it seems to me, is a
5 fundamental error which vitiates the trial and the conviction and I would allow the application on this ground.

Where the sole question to be decided was whether or not the applicant could call in aid his innocent explanation in answer to the doctrine of recent possession, an error of that kind, in my opinion, clearly cannot be saved by
10 the proviso, and indeed the learned prosecutor made no such submission.

That is the basis of my decision in this application. But there were other matters which, had I not come to a confident conclusion in regard to that matter, would have merited serious consideration. Firstly, nowhere in his charge did the learned Judge give the jury any assistance as to what the
15 word "recent" means in the context of this so-called doctrine. All he told them was in various ways that where someone is found to be in possession of goods recently stolen, and the other ingredients were present, then they could convict. It is in my opinion necessary in each case where this doctrine is relied upon to tell the jury what the word "recent" means in this context,
20 and that they should have regard to the nature of the goods alleged to be stolen or received and the general circumstances of each case, and it is for them in the long run to determine whether the goods were or were not recently stolen in the light of that direction. Here the learned Judge, it seems to me, assumed that the goods were recently stolen or received and
25 in effect withdrew that issue from the jury's consideration. Whether that misdirection or non-direction vitiated the trial would have to be determined in the light of the context of the rest of the charge, and I say no more about it.

Next, the learned Judge said this: "Well now, members of the jury, the
30 accused man gave an explanation to you in his statement and if you accept that, it is then put there is an explanation that shows he lawfully obtained those goods." This appears to me to incorrectly place the burden on the applicant to persuade the jury that they should accept his explanation. That as I understand it is not the law. The law is that if the jury find that the
35 explanation might reasonably be true, even if they do not believe it, then that is a sufficient basis for an acquittal. Whether when read in the light of the context of the rest of the charge this direction vitiated the trial I do not pause to determine.

Finally, the learned Judge said this: "Now, in that situation if the person
40 says nothing — he just says, 'Well, they are my watches and that is all I am going to say', there is this presumption, if you want to call it that, or inference that says if a person is found in possession of property which has been recently stolen and he gives no explanation for how he got the property or he gives a lying explanation, then a jury is entitled to conclude
45 that he either stole the jewellery or he received it knowing it was stolen, and in some cases if the person is found in possession five minutes after the robbery or half an hour after the robbery, the jury would be asked to conclude that he was the thief."

In *Biason's Case*, to which I have already referred, the Court said this:
50 "By way of introduction perhaps I should make a preliminary observation. In the older cases dealing with recent possession apparently the doctrine was often treated as being based on a legal presumption. However, whether

the decision of the House of Lords in *Woolmington's Case* in 1935 changed the thrust of legal opinion in respect of this matter or whether it was merely coincidental, I think it is undoubtedly settled law now that there is no question of a legal presumption in respect of the doctrine of recent possession. The present law is, in my opinion, that the so-called doctrine is no more than an application of the rules of the law of evidence to the rules relating to circumstantial evidence. In other words, the so-called doctrine is merely an application of a rule of evidence, the question always being whether the jury are prepared to infer from the fact that property recently stolen is found in the possession of a suspected person and having regard to his explanation they are prepared to convict. However, because the expression [that is the expression, the doctrine of recent possession] is well understood in the law, I will continue to use it for present purposes."

Again I note that the learned Judge in the passage I have read referred to an inference as an alternative to a presumption, and it may well be that if this matter stood alone it would not be sufficient to vitiate the trial.

However, in my opinion the application should be granted.

Murphy J: I agree that the application should be allowed.

Hampel J: I also agree and have nothing further to add.

Starke J: The order of the Court is that the application for leave to appeal against conviction is treated as having been instituted and heard *instanter* and the appeal is allowed. Order that the conviction and sentence be quashed and a new trial be held in the County Court.

Appeal allowed.

Solicitor for the applicant: *Legal Aid Commission*.

Solicitor for the Crown: *J. M. Buckley*, Solicitor to the Director of Public Prosecutions.

J.R. DIXON
BARRISTER-AT-LAW